

Table 6.10 Trading Tactics

Trading Tactic	Explanation	
Measure rule	Measure the height of the pattern from the price of the low between the two peaks to the higher of the two peaks. Subtract the height from the low between the two peaks. The result is the target price. Ignore results at or below zero. Larger percentage moves will be unlikely. The bottom portion of the table shows how often the measure rule works.	
Stop location	Place a stop at the location of your choice, using the results in Table 6.7 as guidance.	
Pullback trade	Look for underlying support below the bottom of the pattern. Price may reach support and return to the breakout price in a pullback. Will that dip be deep enough to make money trading the pullback?	
Busted trade	If you find a busted big M, then consider buying the stock and riding the recovery.	
Tips	See text.	
Description	Bull Market	Bear Market
Percentage reaching half height target	80%	82%
Percentage reaching full height target	55%	58%
Percentage reaching 2× height	26%	27%
Percentage reaching 3× height	13%	15%
Return to launch price	52%	59%